NOMURA

China Construction Machinery

Global Markets Research
14 October 2026

EQUITY: Machinery and Equipment

Earthmoving Machinery Monthly Data Tracker

Exports remain the key growth engine in September; domestic demand continues to recover

Excavator/loader sales up 14%/18% y-y in September

According to the China Construction Machinery Association (CCMA), major excavator manufacturers sold 22,717 excavators in September 2026, up 14.4% y-y. Of these, domestic sales reached 9,911 units (including 218 electric excavators), up 7.2% y-y, while exports came in at 12,806 units (including 65 electric excavators), up 20.7% y-y. In 9M26, total excavator sales reached 214,274 units, up 23.1% y-y. Domestic sales were 104,530 units (including 629 electric excavators), up 16.3% y-y, while exports reached 109,744 units (including 322 electric excavators), up 30.4% y-y. Compared with August, total excavator sales rose 15.2% m-m in September, with a notable recovery in domestic sales. Although export growth moderated y-y, exports remained the larger contributor to total unit sales.

According to the CCMA, major loader manufacturers sold 12,419 loaders in September 2026, up 17.9% y-y. Of these, domestic sales reached 5,773 units (including 3,385 electric loaders), up 14.3% y-y, while exports totaled 6,646 units (including 654 electric loaders), up 21.3% y-y. In 9M26, total loader sales reached 117,077 units, up 24.9% y-y. Domestic sales were 58,360 units (including 33,865 electric loaders), up 16.7% y-y, while exports reached 58,717 units (including 3,229 electric loaders), up 34.2% y-y. Compared with August, total loader sales improved m-m in September, while y-y growth in both domestic sales and exports accelerated, with stronger momentum in exports.

Overseas markets are the industry's key growth engine

For both major product categories, export growth outpaced domestic sales growth in September, making overseas markets the key driver of current unit-sales growth. Based on our calculations of incremental unit sales, exports accounted for 63.6%/64.9% of the y-y increase in excavator/loader sales in 9M26, respectively. This trend is also evident in the 1H26 results of listed construction machinery companies: overseas revenue accounted for more than 50% of total revenue at leading OEMs including Sany Heavy Industry (600031 CH, Buy) and XCMG (000425 CH, Buy). We believe this partly reflects the improving overseas competitiveness of Chinese construction-machinery products. The growth gap between exports and domestic sales has widened further, with overseas markets making an increasingly important contribution to industry growth.

Positive on continued industry growth in 2026

In September 2026, excavator and loader sales maintained strong y-y growth, with exports continuing to expand at a solid pace. The domestic market has now recorded positive y-y growth for several consecutive months, suggesting that the overall recovery in domestic demand remains on an upward trajectory, in our view.

We believe domestic construction machinery demand should benefit from equipment renewal and infrastructure investment, including farmland and water conservancy projects, while overseas demand should be supported by further expansion into "Belt and Road" emerging markets and continued overseas channel development by leading OEMs. We therefore continue to recommend Sany Heavy Industry (600031 CH, Buy) and XCMG Machinery (000425 CH, Buy), both of which have high exposure to earthmoving machinery, as well as core construction machinery component supplier Hengli Hydraulic (601100 CH, Buy). **Key risks to our view:** Changes in the global and regional competitive landscape; a weaker-than-expected recovery in domestic demand due to continued weakness in property new starts or slower-than-expected implementation of infrastructure projects; weaker-than-expected overseas demand due to rising geopolitical risks and trade barriers; foreign-exchange fluctuations; and volatility in raw-material prices.

Research Analysts

China Machinery

Fan Zhang - NOI
noiresearch@nomura.com
SAC Registration No.: S1720525080001

Jingshu Fang - NOI
noiresearch@nomura.com
SAC Registration No.: S1720525100001

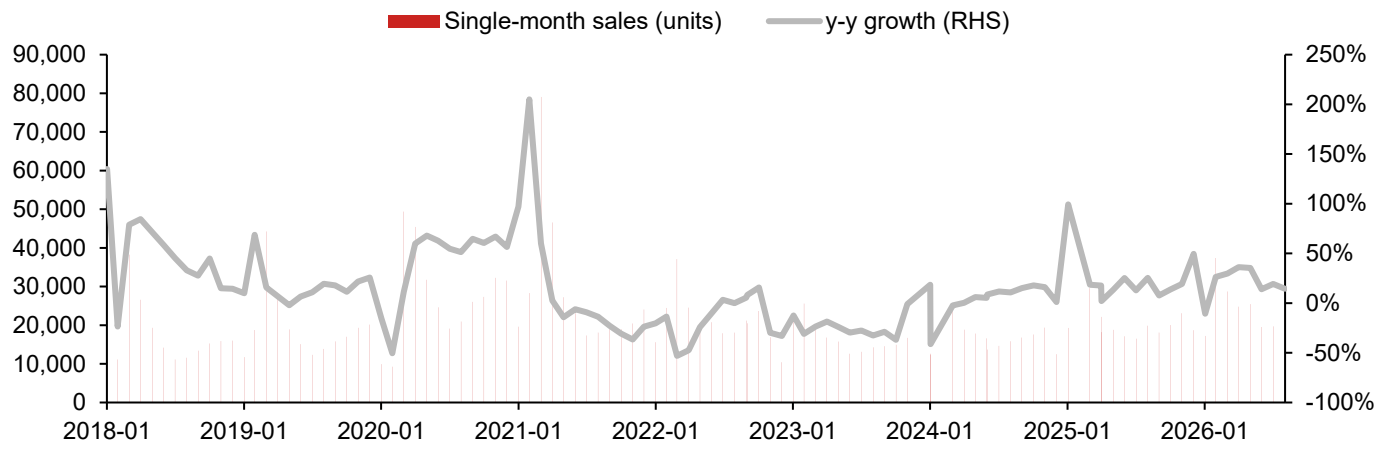
Yueting Tu - NOI
noiresearch@nomura.com
SAC Registration No.: S1720525120001

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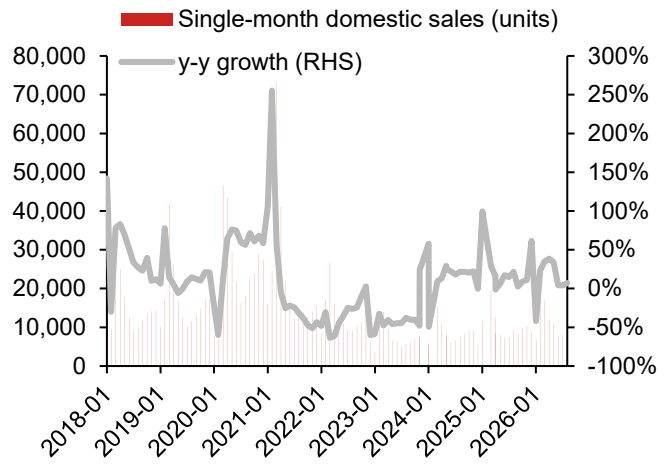
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Fig. 1: Excavator sales rose 14.4% y-y in Sep 2026



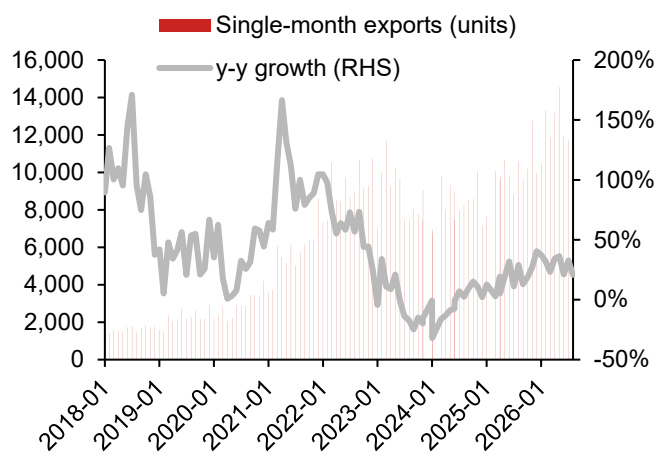
Source: iFinD, CCMA, Nomura

Fig. 2: Domestic excavator sales rose 7.2% y-y in Sep 2026



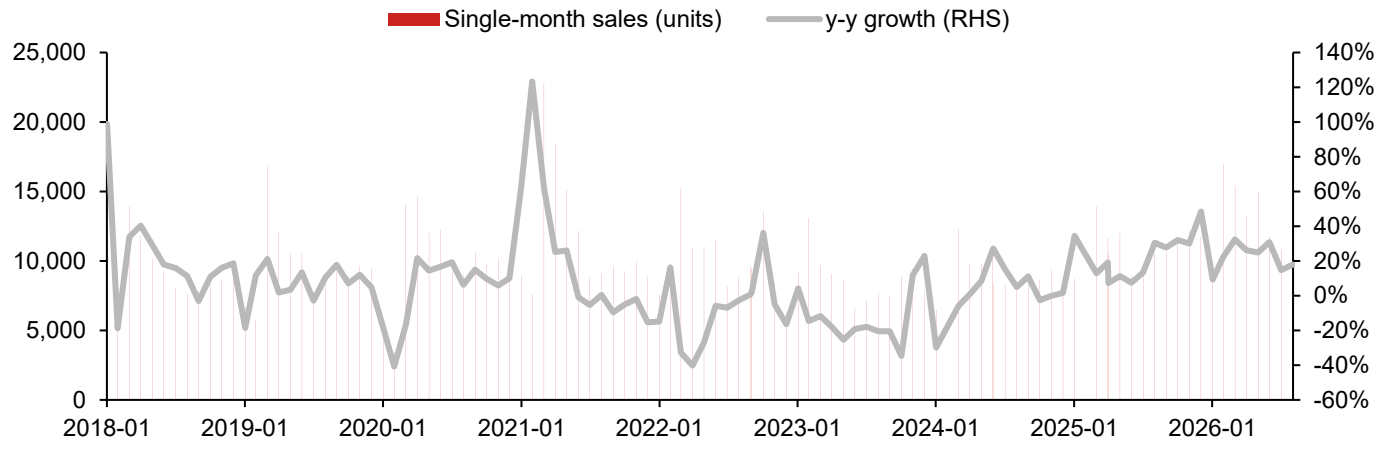
Source: iFinD, CCMA, Nomura

Fig. 3: Excavator exports rose 20.7% y-y in Sep 2026



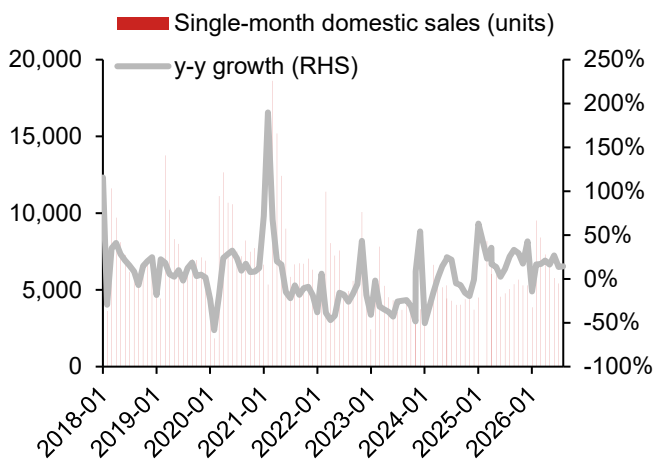
Source: iFinD, CCMA, Nomura

Fig. 4: Loader sales rose 17.9% y-y in Sep 2026



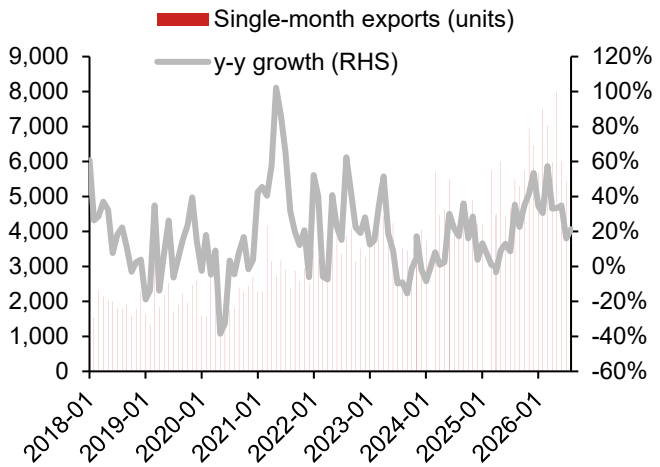
Source: iFinD, CCMA, Nomura

Fig. 5: Domestic loader sales rose 14.3% y-y in Sep 2026



Source: iFinD, CCMA, Nomura

Fig. 6: Loader exports rose 21.3% y-y in Sep 2026



Source: iFinD, CCMA, Nomura

Appendix A-1

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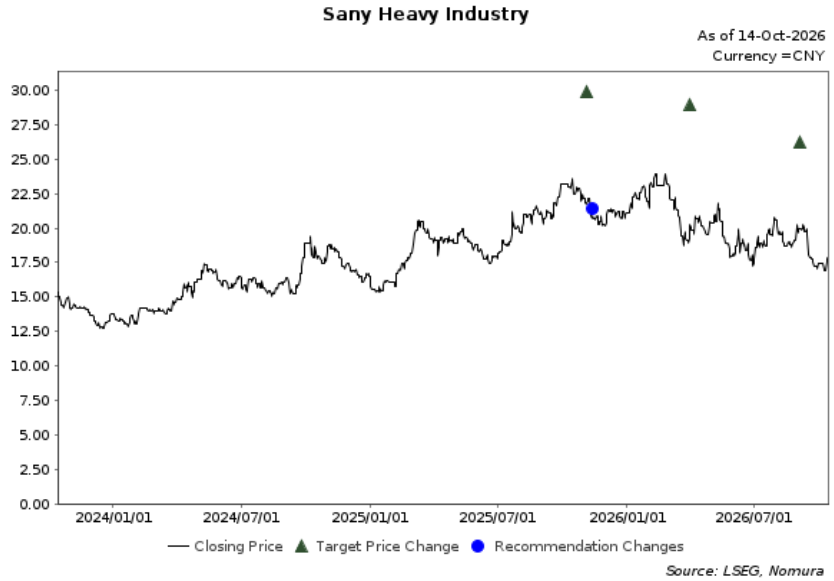
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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Sany Heavy Industry	600031 CH	CNY 17.69	14-Oct-2026	Buy	N/A	
XCMG	000425 CH	CNY 7.27	14-Oct-2026	Buy	N/A	
Hengli Hydraulic	601100 CH	CNY 80.13	14-Oct-2026	Buy	N/A	

Sany Heavy Industry (600031 CH) **CNY 17.69 (14-Oct-2026) Buy** (Sector rating：N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
04-Sep-26		26.23	20.00
01-Apr-26		28.93	20.30
05-Nov-25	Buy		21.82
05-Nov-25		29.90	21.82

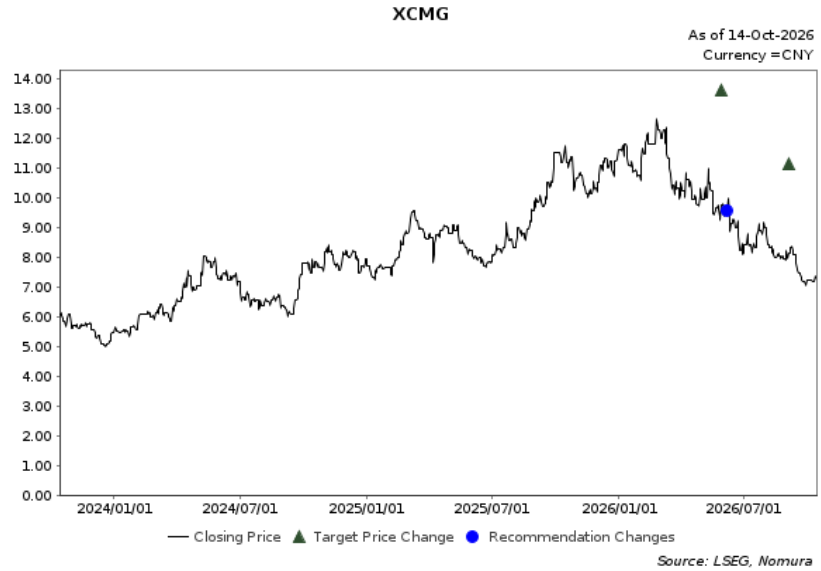
For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We apply a 23x target P/E multiple to our 2026F EPS of CNY1.14 to derive our target price of CNY26.23. Our target multiple is in line with the company's 10-year historical P/E average. The stock's benchmark index is the CSI 300 Index.

Risks that may impede the achievement of the target price Key downside risks include changes in the global and regional competitive landscape, weaker-than-expected R&D capability, weaker-than-expected downstream demand, geopolitical risks, exchange rate fluctuations and raw material price volatility.

XCMG (000425 CH) **CNY 7.27 (14-Oct-2026) Buy** (Sector rating：N/A)

Rating and target price chart (three year history)



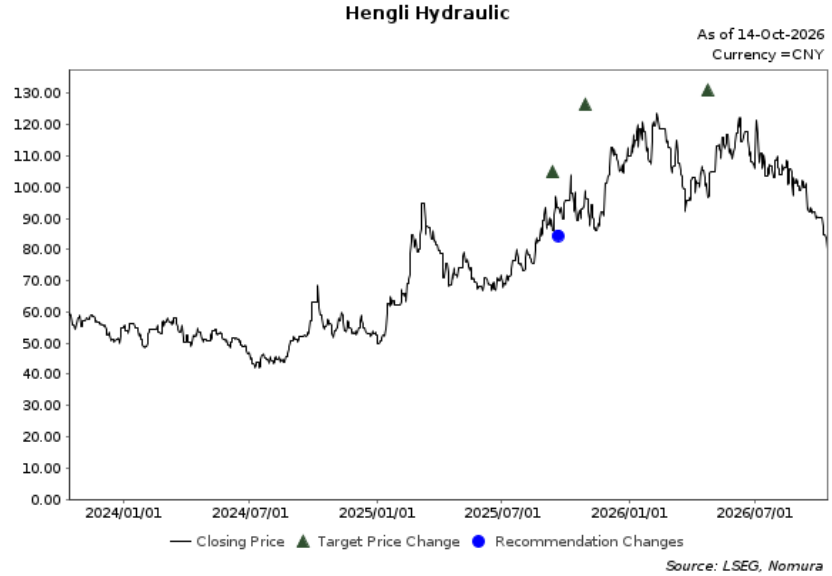
Date	Rating	Target price	Closing price
04-Sep-26		11.12	8.14
29-May-26	Buy		9.75
29-May-26		13.60	9.75

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Based on a 17x target P/E, broadly in line with the average of comparable companies, and our 2026F EPS of CNY0.65, we derive a target price of CNY11.12. The stock's benchmark index is the CSI 300 Index.
Risks that may impede the achievement of the target price Key downside risks include changes in the competitive landscape; weaker-than-expected R&D capabilities; slower-than-expected expansion of the mining machinery business; weaker-than-expected domestic and overseas downstream demand; a more challenging global operating environment and geopolitical risks; raw-material price volatility; and FX volatility.

Hengli Hydraulic (601100 CH) **CNY 80.13 (14-Oct-2026) Buy** (Sector rating：N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
24-Apr-26		131.12	96.85
29-Oct-25		126.54	98.81
12-Sep-25	Buy		86.36
12-Sep-25		105.10	86.36

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We derive our target price of CNY131.12 based on a target P/E multiple of 49x and our 2026F EPS of CNY2.68. Our target multiple is at a discount to the peer average 2026E P/E. The benchmark index is the CSI300 Index.
Risks that may impede the achievement of the target price Key downside risks include weaker-than-expected domestic and international downstream demand, geopolitical tensions, slower-than-expected new business expansion, raw material price fluctuations, delays in investment projects and foreign exchange risk.

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